

Week 4-1 & 4-2

Lecture Note

The Recording Process

회계 기록 과정

Principles of Accounting

Dr. Joe (Joong Hi) Cho

The Recording Process is Known as “The Accounting Cycle” (회계의 순환과정)

The Recording Process

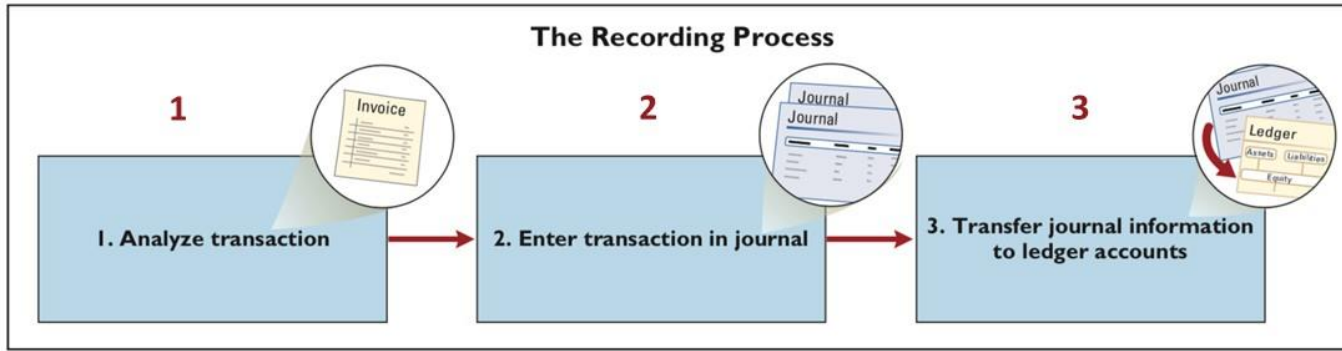
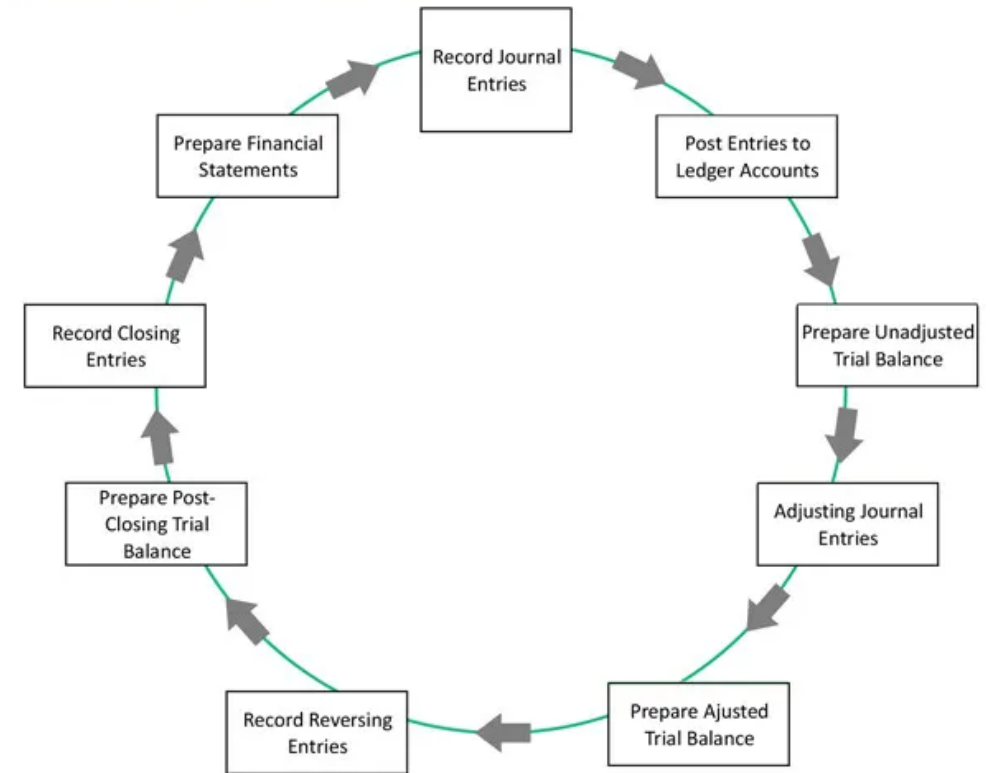


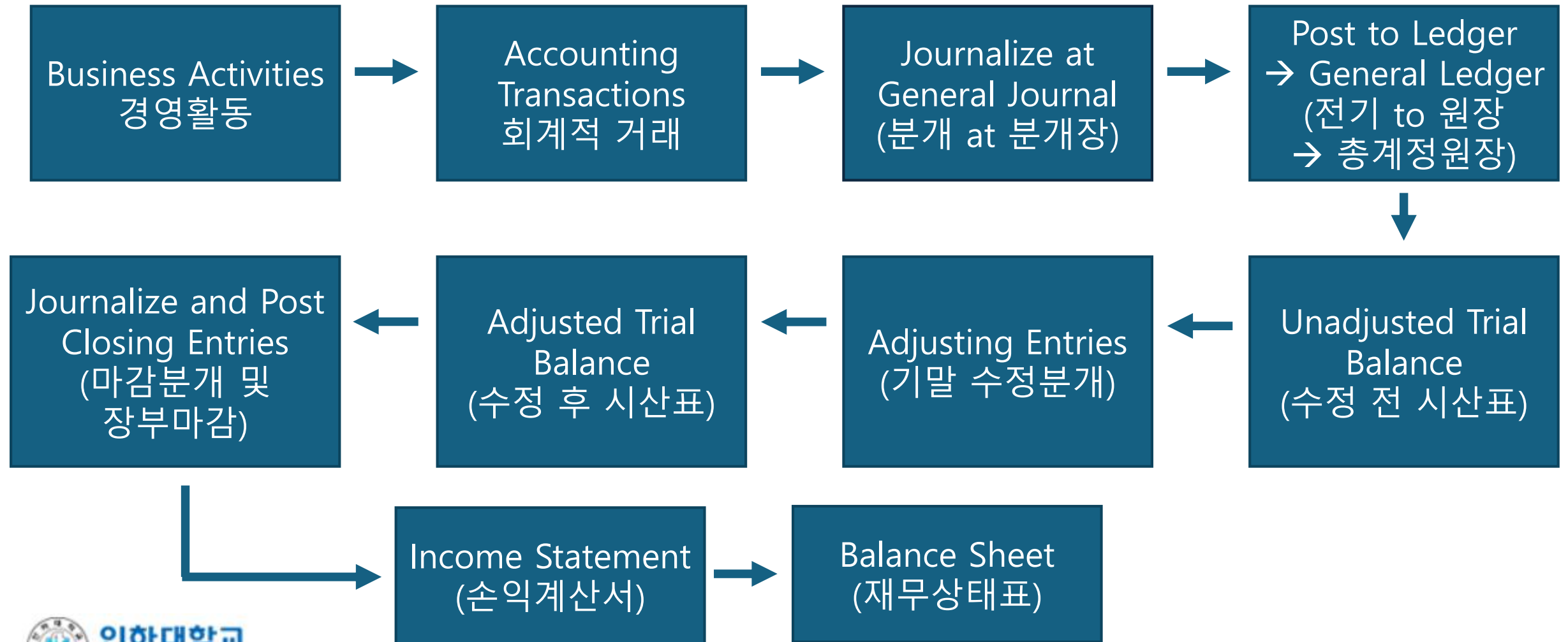
Illustration 2.13: The recording process

Accounting Cycle



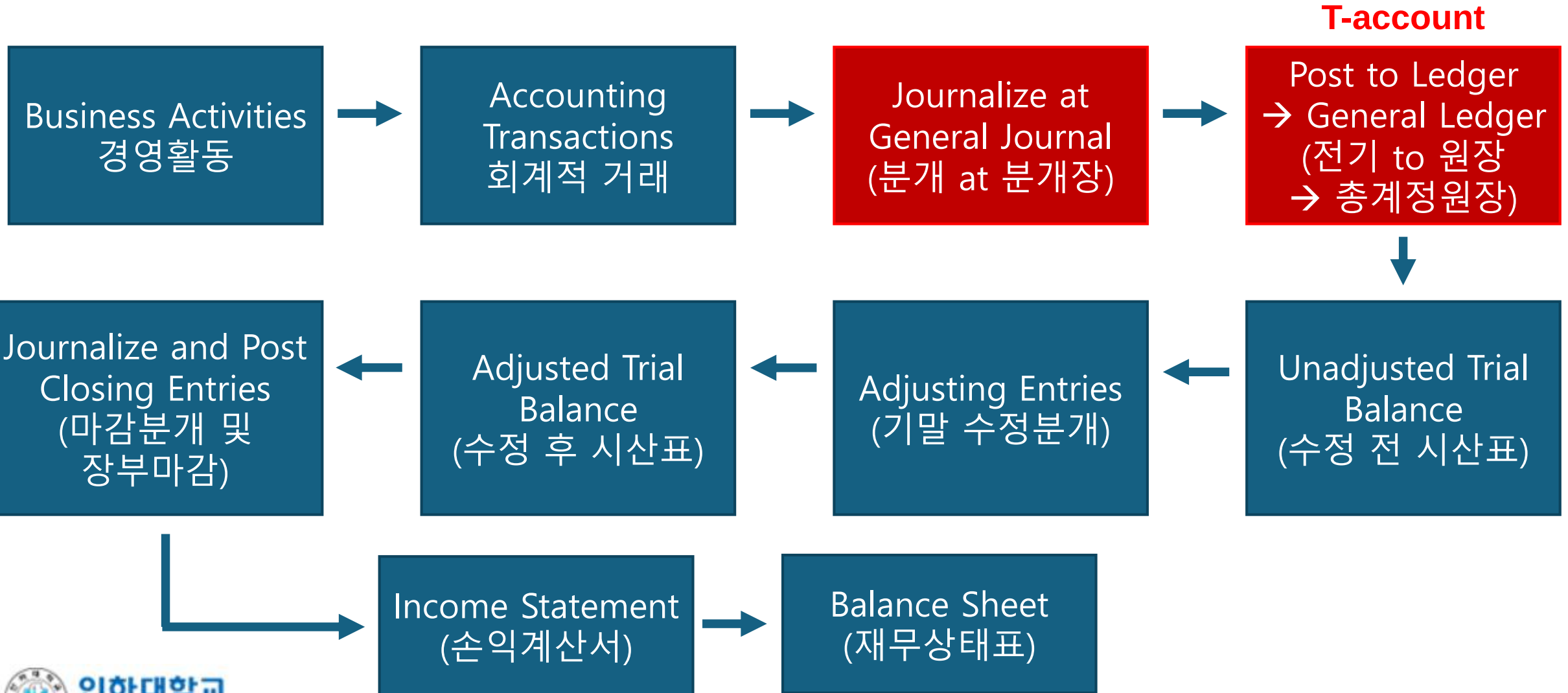
The Recording Process

- This process is known as “the accounting cycle”



The Recording Process

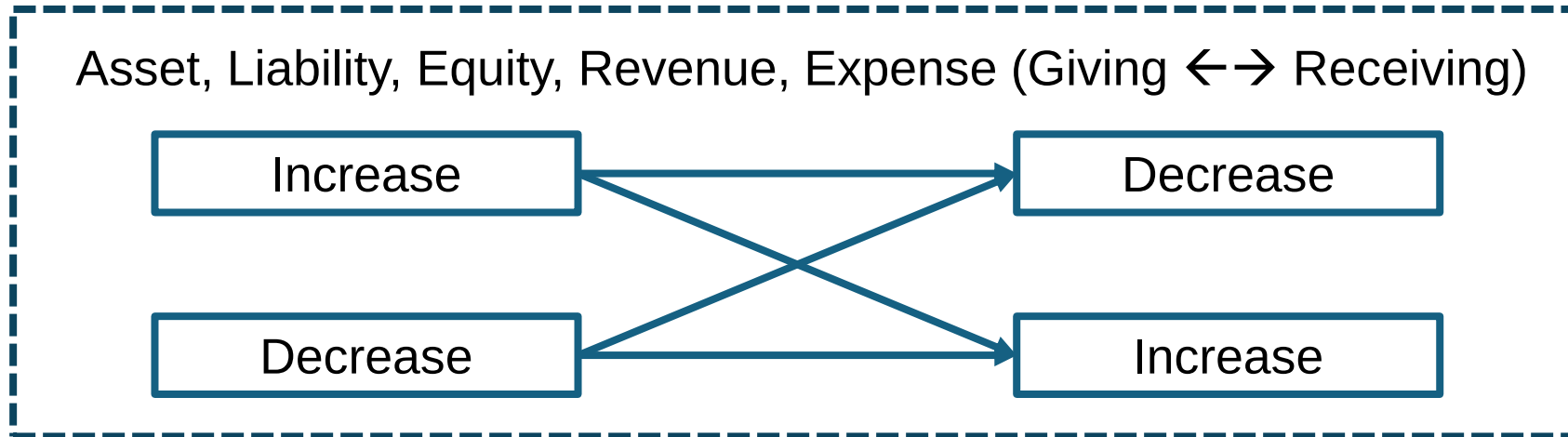
- This process is known as “the accounting cycle”



Journalizing and Posting to Ledger (분개와 전기)

Journalize at (General) Journals

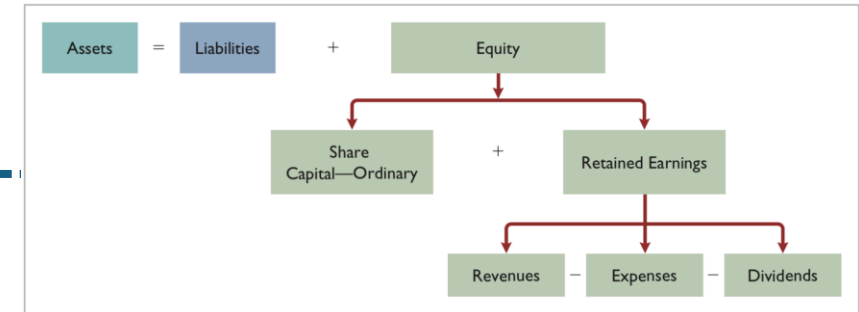
- The Account (계정)
 - Assets (Cash, ...) / Liabilities (Note Payable, ...) / Shareholder's Equity (Common Shares, ...)
 - Debit and Credit Columns (차변과 대변)
 - Double-Entry System (복식부기)



- Example of Double-Entry System
 - Supplies(Assets) Increase + Cash(Assets) Decrease
→ (Debit) Supplies 100,000 // (Credit) Cash 100,000

Accounting Equation

- The Account (계정)
 - Assets (Cash, ...) / Liabilities (Note Payable, ...) / Shareholder's Equity (Share Capital, ...)
 - Debit and Credit Columns (차변과 대변)
 - Double-Entry System (복식부기)



Assets = Liabilities + Equity

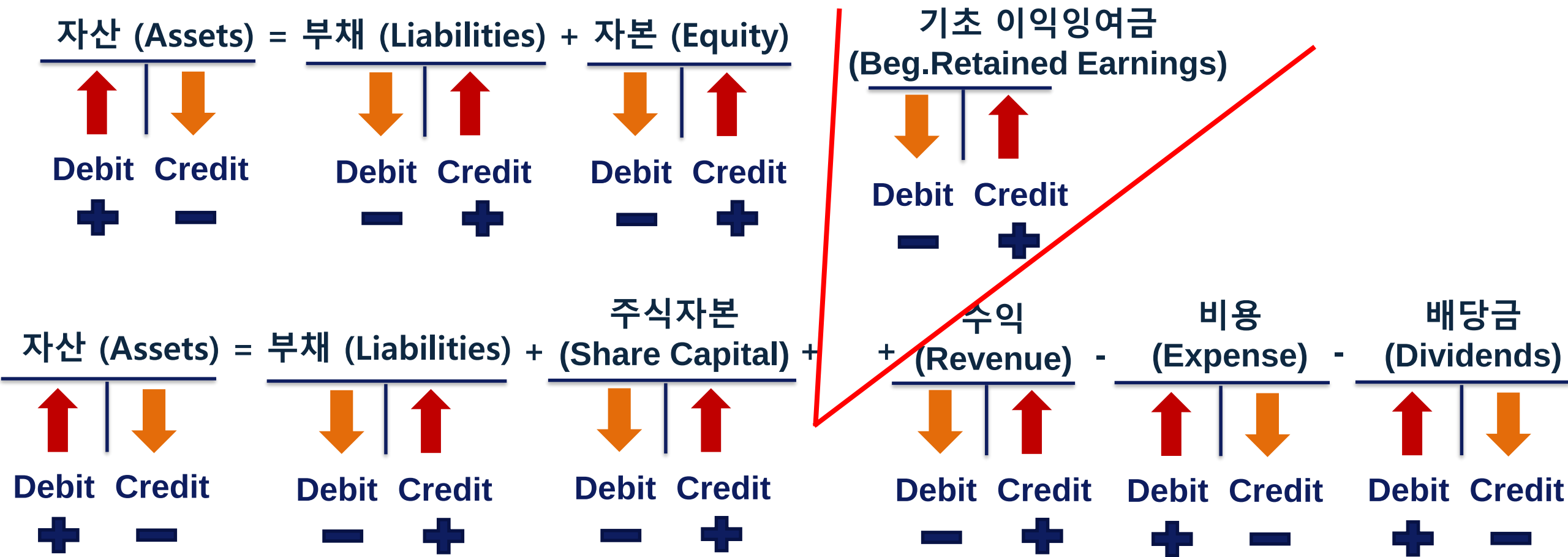
Assets = Liabilities + Share Capital + R/E

Assets = Liabilities + Share Capital + Beg.R/E + Net Income – Dividends

Assets = Liabilities + Share Capital + Beg.R/E + Revenues – Expenses – Dividends

Assets + Expenses + Dividends = Liabilities + Share Capital + Beg.R/E + Revenues

Rules for Debit and Credit Recording



Journalize at (General) Journals

GENERAL JOURNAL					J1
Date	Account Titles and Explanation	Ref.	Debit	Credit	
2025					
Sept. 1	2 Cash 3 Share Capital—Ordinary 4 (Issued shares for cash)	5	15,000	15,000	
1	Equipment		7,000		
1	Cash (Purchase of equipment for cash)			7,000	

Illustration 2.14: Techniques of journalizing

1. Date of the transaction.
2. Debit account title.
3. Credit account title.
4. Brief explanation of the transaction.
5. Reference column, which is left blank when the journal entry is made. This column is used later when the journal entries are transferred to the individual accounts.

Journalize at (General) Journals

- More simplify,

JOURNAL			
Date	Accounts and explanation	Debit	Credit
Sep 1	Cash	15,000	
	Share Capital		15,000
	<i>Issued ordinary shares</i>		

Journalize at (General) Journals

Illustration 2.30:

General journal entries

- Chronological order
- Double-Entry System
- Debit and Credit columns

GENERAL JOURNAL				PAGE J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2025				
Oct. 1	Cash	101	10,000	
	Share Capital—Ordinary (Issued shares for cash)	311		10,000
1	Equipment	157	5,000	
	Notes Payable (Issued 3-month, 12% note for office equipment)	200		5,000
2	Cash	101	1,200	
	Unearned Service Revenue (Received cash from R. Knox for future services)	209		1,200
3	Rent Expense	729	900	
	Cash (Paid October rent)	101		900
4	Prepaid Insurance	130	600	
	Cash (Paid one-year policy; effective date October 1)	101		600
5	Supplies	126	2,500	
	Accounts Payable (Purchased supplies on account from Aero Supply)	201		2,500
20	Dividends	332	500	
	Cash (Declared and paid a cash dividend)	101		500
26	Salaries and Wages Expense	726	4,000	
	Cash (Paid salaries to date)	101		4,000
31	Cash	101	10,000	
	Service Revenue (Received cash for services performed)	400		10,000

Posting to Ledger using T-account

JOURNAL			
Date	Accounts and explanation	Debit	Credit
Sep 1	Cash	15,000	
	Share Capital		15,000
	<i>Issued ordinary shares</i>		

Cash
\$15,000

Share Capital
\$15,000

Let's practice – Journalizing and Posting to Ledger (연습 예제 – 분기 & 전기)

Practice [1]

- Investment of cash by shareholders

Analyzing business transactions

Transaction

On October 1, C. R. Yazici invests ₺10,000 cash in an advertising company to be known as Yazici Advertising A.Ş.

Basic Analysis

The asset Cash increases ₺10,000; equity (specifically, Share Capital—Ordinary) increases ₺10,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>	
Cash	=			Share Capital	
+10,000				+10,000	Issued Shares

Practice [2]

- Purchase of office equipment

Analyzing business transactions

Transaction

On October 1, Yazici Advertising purchases office equipment costing ₺5,000 by signing a 3-month, 12%, ₺5,000 note payable.

Basic Analysis

The asset Equipment increases ₺5,000; the liability Notes Payable increases ₺5,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
Equipment	=	Notes Payable		
+5,000		+5,000		

Practice [3]

- Payment of monthly rent

Analyzing business transactions

Transaction	On October 3, Yazici Advertising pays office rent for October in cash, ₺900.			
Basic Analysis	Rent Expense increases ₺900 because the payment pertains only to the current month; the asset Cash decreases ₺900.			
Equation Analysis	<u>Assets</u> Cash -900	=	<u>Liabilities</u>	+ <u>Equity</u> Expenses -900 Rent Expense

Practice [4]

- Declaration and payment of dividend

Analyzing business transactions

Transaction

On October 20, Yazici Advertising's board of directors declares and pays a ₺500 cash dividend to shareholders.

Basic
Analysis

The Dividends account increases ₺500; the asset Cash decreases ₺500.

Equation
Analysis

$$\begin{array}{rclcl} \text{Assets} & = & \text{Liabilities} & + & \text{Equity} \\ \hline \text{Cash} & = & & & \text{Dividends} \\ -500 & & & & -500 \end{array}$$

Practice [5]

- Payment of salaries

Analyzing business transactions

Transaction	On October 26, Yazici Advertising owes employee salaries of ₺4,000 and pays them in cash. (See October 9 event.)																	
Basic Analysis	Salaries and Wages Expense increases ₺4,000; the asset Cash decreases ₺4,000.																	
Equation Analysis	<table><tr><td><u>Assets</u></td><td>=</td><td><u>Liabilities</u></td><td>+</td><td><u>Equity</u></td></tr><tr><td>Cash</td><td>=</td><td></td><td></td><td>Expenses</td></tr><tr><td>–4,000</td><td></td><td></td><td></td><td>–4,000</td></tr></table>	<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>	Cash	=			Expenses	–4,000				–4,000	Salaries and Wages Expense	
<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>														
Cash	=			Expenses														
–4,000				–4,000														

Practice [6]

- Receipt of cash for services

Analyzing business transactions

Transaction

On October 31, Yazici Advertising receives ₺10,000 in cash from Copa Company for advertising services performed in October.

Basic Analysis

The asset Cash increases ₺10,000; the revenue account Service Revenue increases ₺10,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
Cash	=			Revenues
+10,000				+10,000 Service Revenue

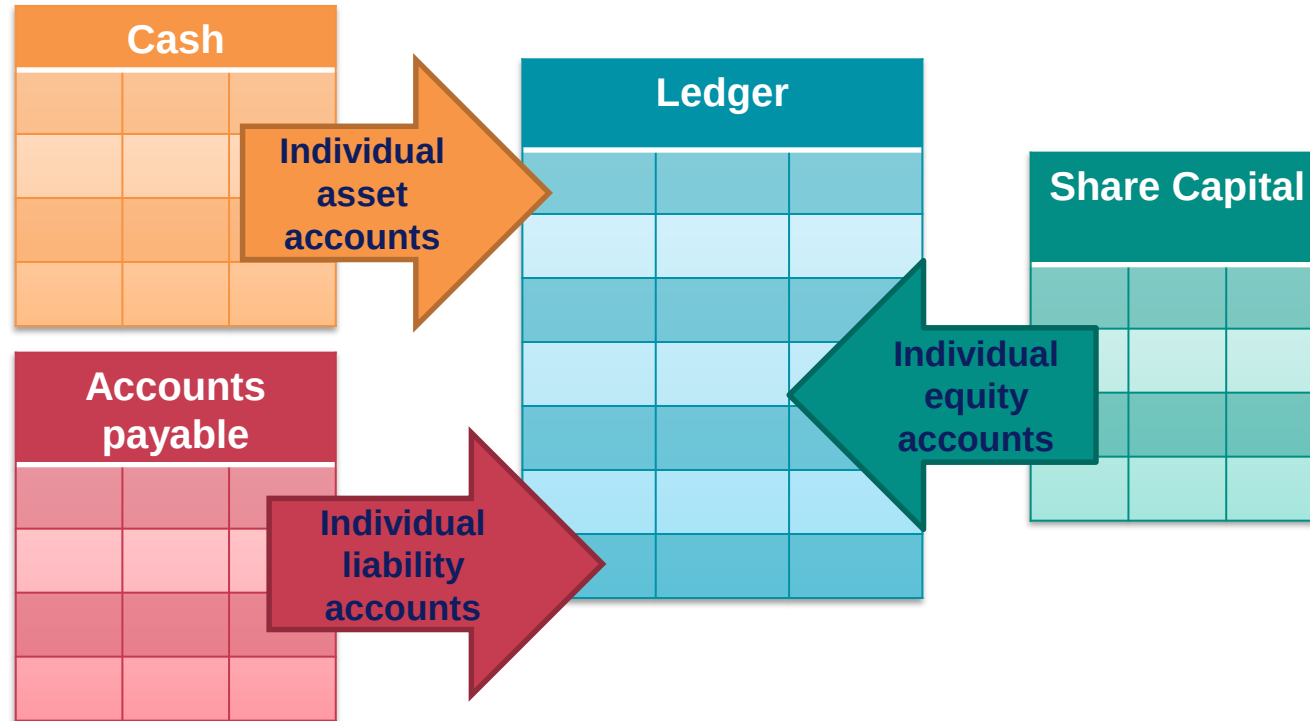
Let's continue to learn about 'posting to ledger'
(전기 과정 마무리)

Posting to Ledger

Posting

Cash		101	
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
31	10,000	20	500
		26	4,000

Posting to Ledger



Posting to Ledger

What is Ledger posting?

Journal

Date	Particulars	L.F	Dr	Cr
			Amount \$	Amount \$
2005 Jan. 1	Cash account ———— Dr Capital account (Owner invested cash)		20,000	20,000
Jan. 3	Purchases account ———— Dr Cash account (Goods purchased for cash)		5,000	5,000
Jan. 4	Cash account ———— Dr Sales account (Sold goods for cash)		7,000	7,000
Jan. 5	Salaries account ———— Dr Cash account (Salaries paid)		2,000	2,000

Salaries Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Cash Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Capital Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Purchases Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Sales Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Posting to Ledger

What is Ledger posting?

Journal

Date	Particulars	L.F	Dr Amount \$	Cr Amount \$
2005 Jan. 1	Cash account — Dr Capital account — Cr (Owner invested cash)		20,000	20,000
Jan. 3	Purchases account — Dr Cash account — Cr (Goods purchased for cash)		5,000	5,000
Jan. 4	Cash account — Dr Sales account — Cr (Sold goods for cash)		7,000	7,000
Jan. 5	Salaries account — Dr Cash account — Cr (Salaries paid)		2,000	2,000

Salaries Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Cash Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

총계정원장

현 금				계정번호 111		
일 자	적 요	분면	차 변	대 변	잔 액	
3월 1일	주주의 출자(주식의 발행)	1	4,000		4,000	
3월 3일	비품의 구입	1		360	3,640	
3월 4일	용역제공	1	800		4,440	

Sales Account

Date	References	J.R	Amount \$	Date	References	J.R	Amount \$

Journalizing and Posting to Ledger

- To summarize,

General Journal

GENERAL JOURNAL				PAGE J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2025				
Oct. 1	Cash	101	10,000	
	Share Capital—Ordinary (Issued shares for cash)	311		10,000
1	Equipment	157	5,000	
	Notes Payable (Issued 3-month, 12% note for office equipment)	200		5,000
2	Cash	101	1,200	
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	Accounts Payable (Purchased supplies on account from Aero Supply)	201		2,500
20	Dividends	332	500	
	Cash (Declared and paid a cash dividend)	101		500
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	Cash (Paid salaries to date)	101		4,000
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	Service Revenue (Received cash for services performed)	400		10,000



General Ledger

CRUMBS BAKERY General Ledger			
Cash		Sales	
5 - Jan - 22	\$5,500	1 - Jan - 22	\$12,000
7 - Jan - 22	\$4,500	5 - Jan - 22	\$5,500
		7 - Jan - 22	\$4,500
Inventory		Cost of Goods Sold	
5 - Jan - 22	\$12,000	5 - Jan - 22	\$1,000
		7 - Jan - 22	\$1,000
		7 - Jan - 22	\$1,000

Let's practice – 'posting to ledger'
(연습 예제 – 전기 과정)

Question

Como SpA recorded the following transactions in a general journal during the month of March:

Mar. 4	Cash	2,280	
	Service Revenue		2,280
15	Salaries and Wages Expense	400	
	Cash		400
19	Utilities Expense	92	
	Cash		92

Post these entries to the Cash account of the general ledger to determine the ending balance in cash. The beginning balance in Cash on March 1 was €600.

Solution

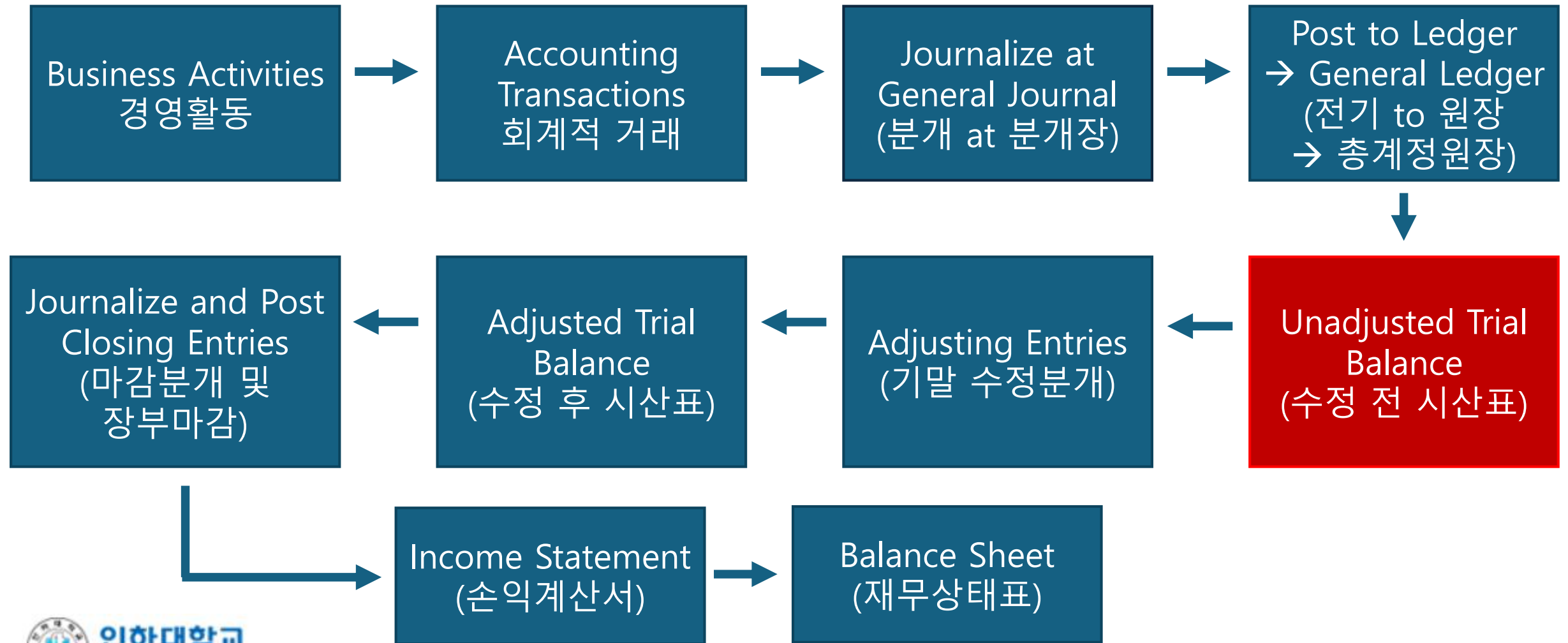
Cash			
3/1	600	3/15	400
3/4	2,280	3/19	92
3/31 Bal.	2,388		

Unadjusted Trial Balance

(수정 전 시산표)

The Recording Process

- This process is known as “the accounting cycle”



Unadjusted Trial Balance (T/B, 시산표)

- Preparing a trial balance is to check for errors in the general ledger entries (총계정원장의 기록에 오류가 없는지 확인하기 위해 작성하는 표)
- How can we check for errors?
 - Summarizing the general ledger in a single table (총계정원장을 하나의 표에 집계)
 - The total debits must equal the total credits (차변 금액과 대변 금액이 동일 – 대차평균의 원리)

Illustration 2.32:
A trial balance

Yazici Advertising A.Ş. Trial Balance October 31, 2025		
	Debit	Credit
Cash	₺15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		₺ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Share Capital—Ordinary		10,000
Dividends	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>₺28,700</u>	<u>₺28,700</u>

Unadjusted Trial Balance (T/B, 시산표)

Limitations of a trial balance (시산표의 한계)

- A trial balance may balance even when: (다음과 같은 경우에도 차변/대변이 일치 할 수 있음)
 1. a transaction not journalized. (거래가 분개되지 않은 경우)
 2. a correct journal entry not posted. (올바른 분개가 전기되지 않은 경우)
 3. a journal entry posted twice. (같은 분개가 두 번 전기된 경우)
 4. Incorrect accounts used in journalizing or posting. (분개 또는 전기 시 잘못된 계정을 사용한 경우)
 5. Offsetting errors made in recording the amount of a transaction. (거래 금액을 기록할 때 상쇄되는 오류)

Question

The following accounts come from the ledger of Bali Beach Supply at December 31, 2025.

157	Equipment	R\$88,000	311	Share Capital —Ordinary	R\$20,000
332	Dividends	8,000	212	Salaries and Wages Payable	2,000
201	Accounts Payable	22,000	200	Notes Payable (due in 3 Months)	19,000
726	Salaries and Wages Expense	42,000	732	Utilities Expense	3,000
112	Accounts Receivable	4,000	130	Prepaid Insurance	6,000
400	Service Revenue	95,000	101	Cash	7,000

Prepare a trial balance in good form.

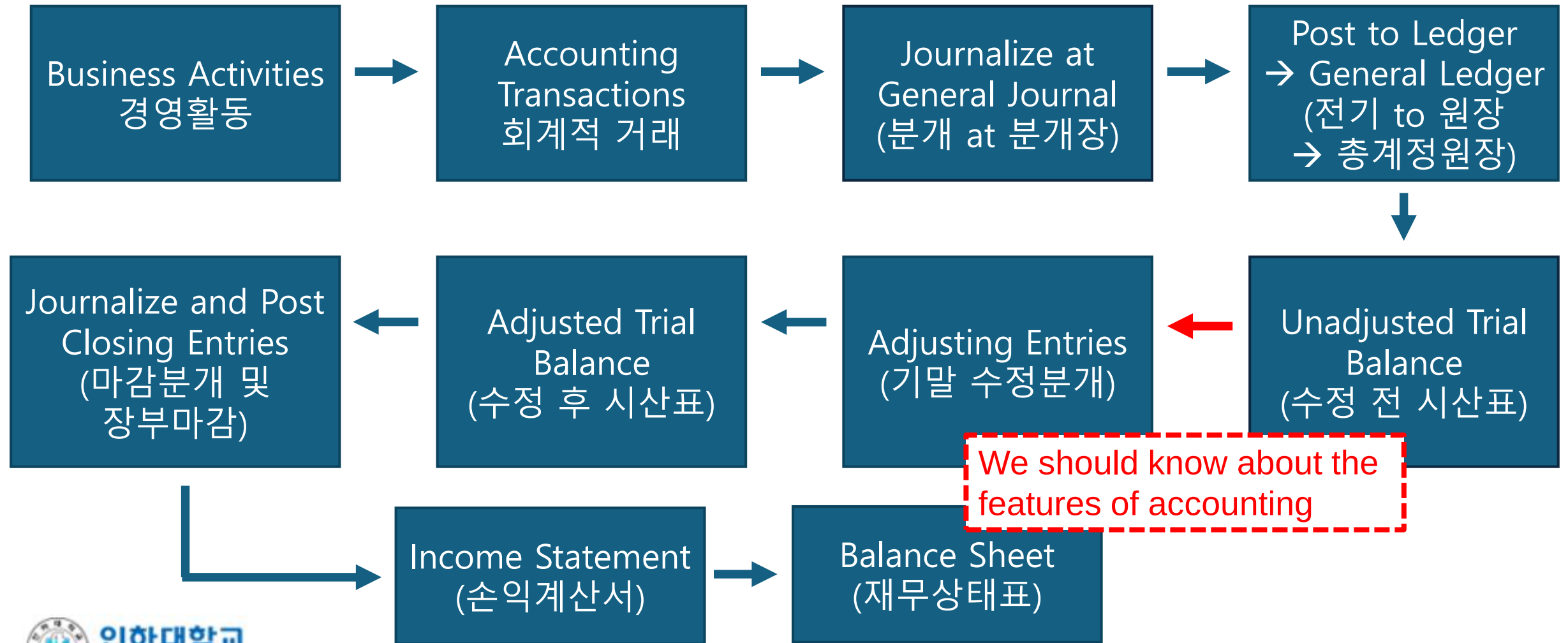
Solution

Bali Beach Supply Trial Balance December 31, 2025		
	Debit	Credit
Cash	R\$ 7,000	
Accounts Receivable	4,000	
Prepaid Insurance	6,000	
Equipment	88,000	
Notes Payable		R\$ 19,000
Accounts Payable		22,000
Salaries and Wages Payable		2,000
Share Capital—Ordinary		20,000
Dividends	8,000	
Service Revenue		95,000
Utilities Expense	3,000	
Salaries and Wages Expense	42,000	
	<u>R\$158,000</u>	<u>R\$158,000</u>

Before we learn about adjusting the accounts, we
should know the features of accounting
(수정 분개를 배우기 전, 회계의 특성에 대해서
반드시 알아야 한다)

The Recording Process

- This process is known as “the accounting cycle”



Explain the Accrual Basis of Accounting and the Reasons for Adjusting Entries

Accrual-Basis Accounting

Accrual Basis

Records impact of transactions when they occur

Companies recognize revenues when they perform services (rather than when they receive cash).

Expenses are recognized when incurred (rather than when paid).

Accrual-basis accounting is in accordance with IFRS.

Cash Basis

Records transactions only if cash is involved

Cash receipts

Revenues are recorded when cash is received.

Expenses are recorded when cash is paid.

Cash-basis accounting is NOT in accordance with IFRS.

Accrual-Basis Accounting

- In accrual basis accounting, we record both cash and non-cash transactions

Cash transactions	Non-cash transactions
Collecting payments from customers	Sales on account
Receiving cash from interest earned	Purchases of inventory on account
Paying salaries, rent, and other expenses	Accrual of expenses incurred but not yet paid
Borrowing money	Depreciation expense
Paying off loans	Usage of prepaid rent, insurance, and supplies
Issuing shares	Earning of revenue when cash was collected in advance

Accrual-Basis Accounting

- Records revenues when earned and expenses when incurred
- Not based on when cash is received or paid

Revenue Recognition Principle

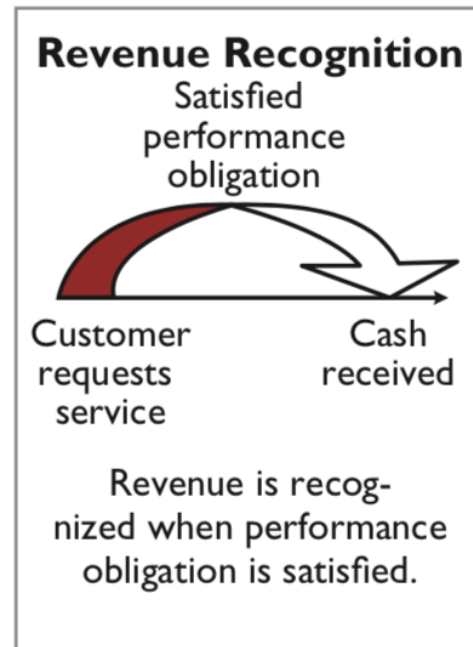
- Recognize revenue when it is earned, even if cash is received later
- Example: Service provided in September, cash received in October
→ Revenue in September

Expense Recognition Principle

- Recognize expenses in the same period as the related revenues
- Example: Rent expense for September is recorded in September, even if paid in October

Revenue Recognition Principle

- Companies recognize revenue in the accounting period in which the performance obligation is satisfied.
- Company satisfies its performance obligation by performing a service or providing a good to a customer.



Expense Recognition Principle

- An Asset purchase is not an expense!
- Recognize expense only when the asset is being used!
- A formal reiteration of the above bullet point: expenses are recognized when obligations are (1) incurred (usually when goods are transferred or services rendered, e.g. sold), and (2) offset against recognized revenues, which were generated from those expenses (related on the cause-and-effect basis), no matter when cash is paid out. This is the so called **matching principle**.

